



DISCLAIMERS

100% Replacement cost value (RCV) must be used as the Coverage “A” limit on HO3, HO6, DP2, and DP3 policies.

100% Actual cash value (ACV) must be used as the Coverage “A” limit on HO8 and DP1 policies.

Functional replacement cost loss settlement may be used as the coverage “A” limit on HO3 policies if the home is built prior to 1960 and the endorsement is selected.

To determine ACV, calculate the RCV and reduce the limit by up to 25% depending on the risk’s condition.

UPCIC will not backdate cancellations. Please refer to the cancellation provision located in the policy form.

AVAILABLE COVERAGE AMOUNTS

Please refer to Atlas Bridge “**Check Form Availability**” for closed zip codes.

Section I – Property Coverages

Policy Form		Minimum	Maximum
HO3 Built 1950 & Newer	X-Wind Territories 110, 120, 130, 140, 150 & 160	\$200,000	\$550,000
	W/Wind Coastal, Beach & Inland Areas	\$100,000	\$1,250,000
HO8 Built 1890 & Newer	X-Wind Territories 110, 120, 130, 140, 150 & 160	\$100,000	\$750,000
	W/Wind Coastal, Beach & Inland Areas	\$100,000	\$1,250,000
HO4 Built 1900 & Newer	All Territories	Coverage C – \$20,000	Coverage C – \$300,000
HO6 Built 1900 & Newer	Owner Occupied – All Territories	Coverage A – \$15,000	Coverage A – \$500,000
		Coverage C – \$20,000	Coverage C – \$300,000
	Tenant Occupied – All Territories	Coverage A – \$15,000	Coverage A – \$500,000
		Coverage C – \$6,000	Coverage C – \$6,000
DP1 Built 1900 & Newer	X-Wind Territories 110, 120, 130, 140, 150 & 160	\$100,000	\$250,000
	W/Wind Coastal, Beach & Inland Areas	\$100,000	\$400,000
DP2 & DP3 Built 1990 & Newer	X-Wind Territories 110, 120, 130, 140, 150 & 160	\$100,000	\$250,000
	W/Wind Coastal, Beach & Inland Areas	\$100,000	\$500,000

Section II – Liability Coverages

Policy Form	Coverage E	Coverage F
HO3, HO4, HO6	\$100,000, \$300,000	\$1,000, \$2,000, \$3,000
HO8	\$100,000	\$1,000
	Coverage L	Coverage M
DP1, DP2, DP3	Not Available	Not Available



BINDING ELIGIBILITY

Background Requirements

Background eligibility applies to the applicant(s), named insured(s), spouse, relatives(s), other person(s) under the age of 21 in the care of an insured, or a student enrolled in school full time, **if residents of the household.**

HO3, HO4, HO6, DP3, DP2 & DP1 Forms

- No Bankruptcies Filed Within Five (5) Years
- No Foreclosure Judgements Within Five (5) Years

All Forms

- No Felony Conviction Within 10 Years
- No Prior Arson or Fraud Convictions or Misrepresentations (*regardless of timeframe*)
- No 1st-Party Lawsuit Against an Auto or Homeowners Insurance Company (*regardless of timeframe*)

Prior Loss Requirements

The restrictions below do **not** include Acts of God losses. Although binding eligibility requirements are listed below, **ALL** losses/claims must be included on to the application.

All Forms Except HO8

- No Water Damage, Dog Bite, Fire, or Theft Losses Within the Last Five (5) years
- One (1) Remediated Water, Dog Bite, Fire, or Theft Loss **Older** Than Five (5) Years is Acceptable
- Excluding Losses Listed Above, One (1) Prior Loss Less Than \$10k Within The Last Five (5) Years is Acceptable with a \$1,000 AOP Deductible
- **DP1 Only:** One (1) Prior Water Loss Within the Last Five (5) Years is Acceptable

HO8 Form Only

- No Prior Fire Losses Within the Last Five (5) Years
- One (1) Remediated Fire Loss **Older** Than Five (5) Years is Acceptable
- No More Than Four (4) Losses Within the Last Five (5) Years

All Forms

- Prior Sinkhole Losses on Location or for Applicant are Not Acceptable (*regardless of time frame*)
- Applicants With Open Claims are Not Acceptable

Age of Home Requirements

A 4-point inspection must be provided for properties **older than 60 years on DP1 policies**; however, all other risks must meet age of home requirements. Use the Universal Property & Casualty Insurance Company (the Company) 4-Point Inspection Form or an equivalent. **Roof and HVAC age of home requirements do not apply to HO4 and HO6 policies.**

Roof

- **Shingle/Wood Roofs** – 25 years or newer (*except HO8 & DP1 – roof must be in good condition with no deficiencies noted*)
- **All Other Roof Types** – Must be in good condition with no deficiencies noted.

Plumbing

- No Polybutylene Pipes (*except HO8 & DP1*)
 - No PEX Plumbing (*except HO8 & DP1*)
- Exception:** Properties built 2010 or newer or with PEX updated 2010 or newer.

HVAC

- No Portable Space Heaters
- No Gas Heaters, Portable Stoves, or Wood Burning Stoves (*unless professionally installed*)
- No Open Flame Devices (*if primary source*)
- Operable Heating, Vented to Each Room is Required Statewide
- Solid or alternative fuel-based heat sources which are professionally installed/certified are acceptable as long as they meet the aforementioned venting requirement.

Electrical

- Minimum of 100 Amps is Required
- No Aluminum (*branch wire*), Cloth, Knob & Tube, or Double Tap Wiring (*Alumiconn & Copalum are acceptable*)
- No Fuses
- No Federal Pacific (*includes Stab Lok*), Zinsco, Sylvania-Zinsco, or Challenger-Zinsco Boxes



BINDING ELIGIBILITY (Continued)

Ineligible Construction Types & Property Requirements

- No Mobile or Trailer Homes
- No Manufactured Homes, Modular Homes, Dome Homes, or Unusual Construction
- No Commercial Property/Business Exposure (*excluding home day care*)
- No Historic Homes
- No Farming, Ranches, Orchards, Groves, or Agriculture
- No Homes with Chinese Drywall
- No Do-It-Yourself Construction
- No Condo Hotels, Nursing/Assisted Living Facilities or Student Housing
- No Log Homes in Protection Classes 1x-8x, 1y-8y, 8B, 9, or 10
- No Open Foundation – Lattice, Stilts, Piers, Pilings, etc. (*HO8 & DP1 policy forms are acceptable*)
Exception: Properties with open foundations built 2007 or newer, or properties meeting the definition of FEMA Diagram 6 are acceptable on HO3, DP2, and DP3 policy forms.
- No Homes with Exterior Insulation Finishing System (EIFS)
- No Pre-Existing Damage
- No Builder's Risk (*e.g. properties under construction or extensive renovation while unoccupied*)
- No Properties Partially or Wholly Over Sand (*acceptable on HO8 policy form*)
- No Properties Over Water
- No Vacant or Unoccupied Properties
- No Protection Class 10's (*e.g. fire station over 5 miles away from property*)
- No Short Term Rentals (*e.g. sublets, properties rented on a less than annual basis, properties rented on multiple lease agreements within a one (1)-year period, or properties where home-sharing host activities take place*)
- Trampolines, Diving Boards, and Pool Slides (*acceptable on DP policy forms*)

Ineligible Animals & Dog Breeds

The following ineligible animals and dog breeds apply to all forms except HO8 and DP policies.

**All dog breeds are acceptable on the Dwelling (DP) policy forms; however, liability coverage is not available.*

- Chow
- Staffordshire Terrier
- Pit Bull
- Presa Canarios
- Akita
- Exotic Animals (*including partial breeds*)

Note: The aforementioned ineligible dog breeds include mixed breeds of ½ or greater.

ADDITIONAL BINDING REQUIREMENTS

- New Purchase Foreclosure or Short Sale Properties Require Current Interior Color Photos (*HVAC, kitchen, bathrooms, and electrical panel*)
- 360 Home Replacement Cost Valuations are Only Acceptable if Completed Through the Atlas Processing System
- Home Day Care Businesses Must Be Licensed and Must Meet All Applicable State Requirements (*exclusion applies*)
- Swimming Pools Must Be Fenced or Enclosed by a Barrier at Least Four (4) Feet in Height
- Handrails are Required on Three (3) or More Steps



OPTIONAL COVERAGES & AVAILABLE ENDORSEMENTS

Endorsement/Coverage	Available Policy Form
Coverage C Increased Special Limits of Liability (<i>not available when rented to others</i>)	HO3, HO6
Limited Water Back-up & Sump Discharge or Overflow Coverage	HO3, HO4, HO6
Functional Replacement Cost Loss Settlement – North Carolina	HO3
Ordinance or Law Increased Amount of Coverage	HO3
Other Structures On The Residence Premises - Increased Limits	HO3, HO8
Personal Injury Coverage	HO3, HO4, HO6, HO8
Personal Property Replacement Cost	HO3, HO4, HO6, HO8
Refrigerated Personal Property	HO3, HO4, HO6, HO8
Residence Held in Trust	HO3, HO6, HO8
Specified Additional Amount of Insurance for Coverage A – Dwelling – North Carolina (<i>Coverage A limit of liability must be insured at 100% replacement cost</i>)	HO3
Structures Rented to Others - Residence Premises	HO3, HO8
Theft Coverage Increased Amount of Coverage	HO8
Unit Owner Coverage A Special Coverage	HO6
Unit Owner Rental to Others	HO6
Windstorm or Hail Exclusion (<i>can be excluded in areas served by NCUA</i>)	All

AVAILABLE DISCOUNTS

- Automatic Fire Sprinklers
- Burglar and/or Fire Alarm
- Year of Construction

- Superior Construction
- Wind Mitigation Program

Note: Documentation must be provided to be eligible for discounts.



GUIDELINES FOR ENTITY-OWNED PROPERTIES

Under certain circumstances entity-owned properties may be eligible for coverage. The following chart shows the relationship between entity types and the policy forms that **may** be available. Under no circumstances will policies written according to the chart below be acceptable unless the following criteria are met:

HO Forms:

- The individual/applicant must be listed as the Named Insured. The Named Insured must be a party to the entity (e.g., Officer, Member, Trustee) and must reside at the property. (HO6 tenant-occupied is acceptable).
- The entity must be listed as an Additional Insured using ISO Endorsement HO 04 41.

DP Forms:

- The entity must be listed as the Named Insured. The individual/applicant must be a party to the entity (Officer, Member, Trustee, etc.). The property must be occupied by a tenant.
- Liability and Medical Payments coverage must be excluded from policy.

All Forms:

- There must be a clear and transparent relationship between the individual/applicant, entity, and property.
 - The individual must have clear first party interest in the entity, and the entity must have clear first party interest in the property.
 - There can be no multiple-entity relationships (e.g. an entity owning another entity that owns the property) or multiple entities owning the property (with husband and wife trusts being the only exception).
- Proof of the preceding criteria must be verified prior to binding and submitted with the application, or the policy will be otherwise cancelled.

Note: *Additional Interests* may be added for the sole purpose of providing proof of coverage, using ISO Endorsement HO 04 10.

Entity Type	HO3, HO6, HO8	DP1, DP2, DP3
Business Entities: LLC, LLP, LTD & Corp. (Additional types, refer to Underwriting)	• Named Insured must be Member/Officer and they must reside at the property (HO6 tenant occupied is acceptable) • Entity must be Additional Insured	• Named Insured must be the entity • Member/Officer should not be listed on policy or reside at the property
Probate Entity: Estate of [Decedent]	Ineligible	Named Insured
Personal Entities: IRA FBO (Applicant), Life Estate	• Named Insured must be Life Tenant and they must reside at the property (HO6 tenant occupied is acceptable) • Remainderman may be listed as Additional Insured	• Named Insured must be Life Tenant (individual) and property must be occupied by a tenant • Entity should not be listed on policy • Remainderman may be listed as Additional Insured
Trust Entities, Individual Trust, Family Trust, Realty Trust, Land Trust (Revocable (Living) or Irrevocable)	• Named Insured must be a party to the Trust, and they must reside at the property (HO6 tenant occupied is acceptable) • Entity must be Additional Insured	• Named Insured must be the Trust • Trustee/Individual should not be listed on policy or reside at the property
Residential Associations: Condominium Association, Homeowner Association	Additional <u>Interest</u> Only	Ineligible
Co-Operative Development Management Companies	Additional <u>Interest</u> Only	Ineligible



GENERAL PROGRAM BINDING AUTHORITY GUIDELINES

GENERAL REQUIREMENTS

- A.** Eligibility guidelines are located throughout the Manuals. All rules contained in the Manual must be followed and will prevail in the underwriting and rating of all policies written with Universal Property & Casualty Insurance Company (the Company).
- B.** Risks not meeting all of the binding requirements contained herein may not be bound. Risks ineligible for binding may be submitted unbound if they meet the program eligibility guidelines contained in the Company's Homeowners Underwriting and Rate/Rule Manuals.
- C.** All agents who submit business to the Company must be licensed with the Agency appointed by the Company. Brokered business (except brokered business placed under a written brokerage agreement) is not acceptable and is deemed to be a violation of the Agency-Company Agreement.

BINDING REQUIREMENTS

Eligible risks may be bound through the Company's electronic policy processing portal. A completed and signed application, supporting documents, and the required premium must be submitted to the Company within 15 days of the date the policy is effective.

A. New Business Premium

- 1. Full Payment Option:** Full payment is to be submitted within 15 days of the date the policy is effective.
- 2. Two Payment Option:** 60% down and 40% due on the 180th day of the policy period.
- 3. Four Payment Option:** 35% down and two (2) payments of 25% each due on the 90th, 180th day and one (1) payment of 15% on the 270th day of the policy period.

B. The payment fee schedule for the two (2) and four (4) payment plans above is as follows:

- 1.** Add \$3 installment fee per payment.
- 2.** A setup fee of \$10 applies to all policies utilizing a payment plan.

C. Renewal Business Premium

The billing process is the same as the new business process above with the following exceptions:

- 1.** The first payment option will be mailed to the insured in advance of the renewal date; and
- 2.** The first payment is due no later than the effective date and time of the renewal.



GENERAL PROGRAM BINDING AUTHORITY GUIDELINES (Continued)

ADDITIONAL LIMITATIONS ON BINDING

A. The Company is able to consider new applications for coverage originating in all areas of North Carolina; however, in territories where the Company insures existing risk concentrations, new applications for coverage must be assessed for their effect on the Company's overall exposures. Therefore, from time to time the Company will restrict binding in certain territories of the state. In these instances, the Company will require the submission of all policies **unbound** for consideration, according to the procedures described herein. This may include changing the territories or minimum/maximum coverage values for which binding is allowed.

B. If an applicant, resident relative, or other person residing with the applicant had a previous policy with the Company that was cancelled (for reasons other than non-payment) or non-renewed, the application must be submitted **unbound** for consideration, according to the procedures described herein.

Note: If the agent is new to the account and wishes to bind the application, it is the agent's responsibility to consult with the applicant and/or the Company to determine compliance with this requirement.

C. Documentation regarding **unbound** risks should be submitted with the application as provided below. As allowed by law, the Company reserves the right to cancel or reject risks that are submitted out of compliance with the underwriting Manuals or guidelines.

Unbound Applications

Risks ineligible for binding as defined herein, and in accordance with the Manuals, may be submitted **unbound** for consideration. The submission must include the following documentation:

A. The complete **unsigned** application;

B. A copy of the expiring declarations (not required for a new purchase);

C. A completed residential replacement cost estimator (RCE), as required; and

D. Any other information or documentation deemed necessary by the Company to underwrite the risk.

Do not:

A. Enter an effective date on the application;

B. Submit with an applicant signature;

C. Submit with a premium deposit;

D. Issue any form of binder; or

E. Advise the applicant coverage is in effect.

You will be notified in writing of the acceptability of the risk and advised if binding is acceptable.

Note: The Company seeks to write business and will make every effort to do so responsibly. Risks not meeting the binding guidelines may be submitted unbound. The Company considers all available information in underwriting risks. In some cases, the Company may be able to write risks not meeting one or more criteria if other characteristics indicate the risk is desirable. The Underwriting Department will be happy to assist with any questions.